

The Proliferation of Investment Types

Specialization of stock mutual funds has reached an absurd extreme. There are general funds, blue chip funds, small stock funds, income funds, growth stock funds, aggressive growth stock funds, index funds, futures funds, hedge funds, sector funds, short selling funds, shortable funds, funds for women, funds for Catholics, funds for people against apartheid, funds for the environmentally conscious, and funds for the politically correct. In April 1994, Stein Roe introduced a fund designed to lure young investors with stocks of companies such as McDonald's, Coca-Cola and Toys "R" Us. Just invent it, and it will sell.

Derivatives (securities based on other securities) were essentially nonexistent prior to Cycle wave V. Last year, Merrill Lynch reported that annual revenue from derivatives for 1993 soared 67% to \$761 million, the first time ever that the company's revenue from derivatives exceeded its revenue from stocks. The total value of all monitored futures and options contracts traded in the U.S. alone in 1993 was \$217 trillion, which is ten times the total value of all private real estate and publicly held companies in the entire country. During wave V, the marketplace, not satisfied merely with stocks, preferreds, warrants, futures, options, options on futures and options on options, has additionally devised "PIK-Preferred" stocks, "Cash Index Participation" shares, leaps, "unbundled units," including "Primes" and "Scores," "look-back" options, and a host of other tools of risk assumption and transferal. Indeed, over two-thirds of all currently available *types* of securities have been introduced just since 1981. Within the types, such as index futures, there are subtypes issued continually. A futures contract was even created, for instance, for an index of stocks devised by a financial television network. Over-the-counter strategies specially created for select clients are even more exotic.

The array of investment instruments has most definitely expanded to a complexity and diversity one might expect at a Grand Supercycle top. You may enjoy reading this opinion, written by a lawyer. It reveals how complex the laws merely regarding stock options can become:

As to whether the regulation is applicable to *option contracts*, the opinions of experts diverge widely. I have not found any decision that might serve as a precedent, though there are many cases at law from which one [should be able to] draw a correct picture.